

NIC SASSO

***Estate Planning 201:** Advanced
Planning for Business Owners and
High-Net-Worth Families





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Estate Planning in the Business Context

- The 30-13-3 Rule
- 30% of family businesses make it to the 2nd generation, 13% to the third, and only 3% to the fourth and beyond
- According to a 2024 survey, 68% of Americans lack even a basic will
- Accuracy of the statistic can be questioned, but themes are real – **most business owners lack a comprehensive estate plan to help transition wealth to the next generation**
- Business transition failures are often not just business failures; they are estate planning failures.

Reasons Why

- Death and Disability are hard topics
- Lack of information/education about the importance
- Most owners live and breathe their businesses, and leave little time for anything else
- Some are just intimidated by the process
- Fear the Complexity and Cost associated with planning

Goals

- Last presentation touched on the basics, including documents every owner should have and also started to explore some of these concepts.
- Brief Discussion of the Current Planning Landscape
- Often driven by taxes, which are always changing
- Estate Planning 201 – When is this Appropriate and Needed
- NOTE: This topic is extremely jurisdictional specific – so we will focus on basic themes
- Situational Dependent – No One Size Fits All

Recent Tax Climate – Post OBBBA

	2026
Estate Tax Exemption	\$15 million
Max. Estate Tax Rate	40%
Gift Tax Exemption	\$15 million
Max. Gift Tax Rate	40%
GST Tax Exemption	\$15 million
Max. GST Tax Rate	40%

Recent Changes

- The enhanced exclusion was set to expire on January 1, 2026, when many of the “Trump Tax Cuts” expired
 - These exemptions would have been cut in half if Congress had not acted by January 1, 2026
- The OBBBA has made a “permanent” change to the estate taxes
 - Unlike the Tax Cuts and Jobs Act of 2017, there is no sunset provision, or hard expiration date for the exemptions
 - “Permanent” lasts only as long as the next administration and Congress allow it to.
- In Summary, Lifetime Estate Tax Exemptions have grown to \$15 million per person (\$30 million for married couple)

Notable proposals over the last 5 Years – where could we be going?

- Biden Administration
 - Build Back Better – suggested drop in exemption back to \$3.5 million and eliminate many irrevocable grantor trust techniques currently available
 - Proposed to eliminate “step up” basis in most cases and make death a triggering event
- STEP Act – tax some unrealized gain at death
- “For the 99.8 Percent Act”
 - Proposed reducing estate exclusion amount to \$3.5 million, increase rates, lower gift exemption to \$1 million, and major modifications to “grantor trust” rules and elimination of certain discounts
- Death Tax Repeal Act recently introduced in the House and Senate

Estate Tax

- Tax imposed upon the “gross estate” of a decedent
 - Gross estate includes more than just probate assets
 - Also generally includes other “non-probate” assets such as:
 - joint bank accounts
 - assets held in revocable trust
 - life insurance death benefits
 - certain annuities
 - retirement accounts
- For 2026, estate tax exemption = \$15,000,000 – AND we still have portability (DSUE) – maximum tax rate is 40%
- 18 states still have a state level estate or inheritance tax for 2026
- Unlimited Marital and Charitable Deductions if certain qualifications are met

Estate Tax Exemptions Through Recent History

Estate Tax Exemption			
Year	Individual Exemption (\$ millions)	Married Couple Exemption (\$ millions)	Maximum Tax Rate
2016	\$5,450,000.00	\$10,900,000.00	40.00%
2017	\$5,490,000.00	\$10,980,000.00	40.00%
2018	\$11,180,000.00	\$22,360,000.00	40.00%
2019	\$11,400,000.00	\$22,800,000.00	40.00%
2020	\$11,580,000.00	\$22,160,000.00	40.00%
2021	\$11,700,000.00	\$23,400,000.00	40.00%
2022	\$12,060,000.00	\$24,120,000.00	40.00%
2023	\$12,920,000.00	\$25,820,000.00	40.00%
2024	\$13,610,000.00	\$27,220,000.00	40.00%
2025	\$13,990,000.00	\$27,980,000.00	40.00%
2026	\$15,000,000.00	\$30,000,000.00	40.00%

Gift Tax

- The United States generally imposes a gift tax on **any transfer of property by gift made by a U.S. citizen or resident**, whether made directly or indirectly and whether made via irrevocable trust or otherwise.
- **Nonresident aliens** are subject to the gift tax with respect to transfers of tangible real or personal property where the **property is located in the United States at the time of the gift**.
- The gift tax is imposed on the donor and is **based on the fair market value** of the property transferred.
- Deductions are allowed for certain gifts to spouses and to charities.
- Annual gifts of **\$19,000 (for 2026)** or less per donor and per donee generally are not subject to tax.

Gift Tax

- Tax imposed upon gifts made during lifetime
- Exclusions:
 - Annual Exclusion Gifts (\$19,000 per individual, per year)
 - \$38,000 per individual, per year if married and gift tax returns filed (i.e., gift splitting, need to file 709 and make affirmative election)
 - Direct payments for tuition and medical expenses
- Unlimited Marital Deduction
- For 2026, gift tax exemption = \$15,000,000 (indexed for inflation for future years)
- Current maximum tax rate = 40%

Generation-Skipping Transfer Tax

- Additional tax imposed on certain gifts to skip persons
 - The term “skip persons” generally refers to grandchildren and others two generations below the donor
 - But the IRC has a complicated set of rules for determining who is a “skip person” outside of the family context (even gifts between unrelated clients can cause “skip” issues)
- Same general exclusions as gift tax
- For 2026, GST Exemption = \$15,000,000 (indexed for inflation in future years)
- Current maximum tax rate = 40%

The “Unified” Credit

- The gift and estate taxes are unified such that a single graduated rate schedule and effective exemption amount apply to an individual's cumulative taxable gifts and bequests. Thus, if a client uses some of his or her “exemption” with lifetime gifts, the exemption is reduced for estate taxes upon the client's death.
- Unused exemption as of the death of a spouse generally is available for use by the surviving spouse; this feature of the law sometimes is referred to as exemption portability.

Gift and GST Tax Exemptions

Example

- Gwen-Wo, who is a widow, wishes to convey \$200,000 worth of stock to grandchild
- \$19,000 qualifies for the annual gift tax exclusion assuming no other gifts during the year (no Christmas gifts, etc.)
- Remaining \$181,000 is deducted from the \$15,000,000 exclusion available for gift, GST, and estate tax purposes
 - Now has \$14,819,000 remaining at death for both GST and Gwen-Wo's lifetime credit
- Although no gift taxes are due, Gwen-Wo must file a gift tax return with her income tax return

Planning Toolkit

After identifying the transfer tax exposure, the next question is which planning tool best fits the client's goals, assets, family dynamics, and tolerance for complexity.

Match the technique to the planning objective

Revocable Trust Planning

Privacy, probate avoidance, incapacity planning, and control after death.

Lifetime Gifting

Annual exclusion gifts, exemption use, and irrevocable trust funding.

Estate Freezes

GRATs, QPRTs, IDGT sales, SLATs, and BDIT/BDOT structures.

Insurance Planning

Liquidity, estate tax funding, wealth replacement, and equalization.

Charitable Planning

DAFs, private foundations, CRTs, CLTs, and charitable bequests.

Basis Planning

Step-up planning, upstream planning, and balancing income tax vs. estate tax.

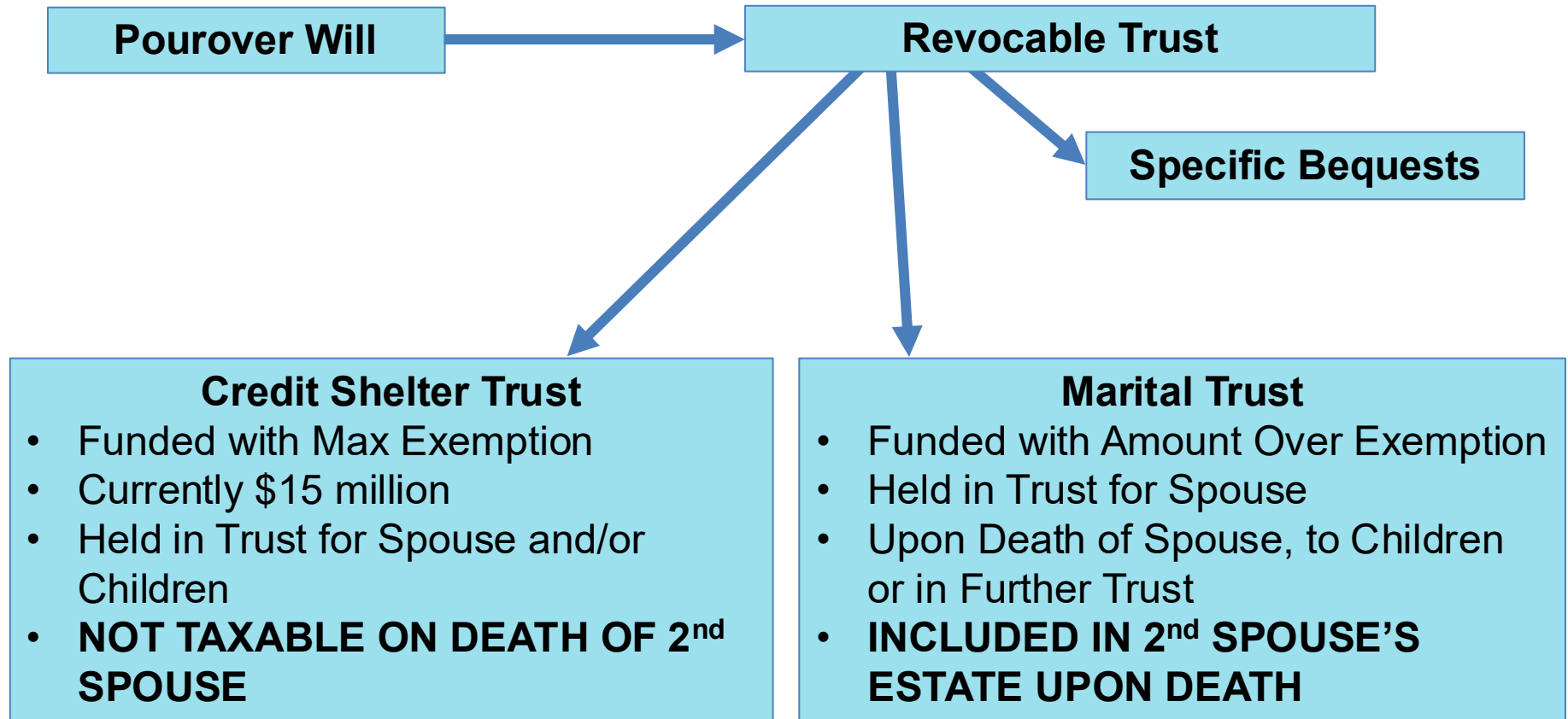
Revocable Trust

- Most clients will need a fourth document (in addition to a Will, Financial POA and Healthcare POA) – the Revocable Trust
- **Types of Trusts**
 - Revocable Living – Separate Document Formed During Client's Lifetime Where Client Reserves the Right to Revoke or Amend
 - Irrevocable Inter Vivos – Separate Document Established During Lifetime But Generally No Right to Amend
 - Testamentary – Formed Through a Will

Revocable Trust Planning

- The “AB” or Credit Shelter Trust is still very much alive
 - Just larger numbers now
 - Provides considerable tax advantages, especially if there is a long gap between death of spouse 1 and spouse 2
- “Disclaimer” revocable trust planning
 - Flexibility for the “in between” clients
 - Allows surviving spouse to deflect assets to a credit shelter trust if it makes sense for tax purposes upon death of spouse 1

Sample 2026 Revocable AB Trust



Revocable Trust

- Multiple types of trusts, all used for various purposes
- The “Inter Vivos” Revocable Trust is becoming more prevalent, fewer “testamentary” trusts established through a Will
- Often referred to as a “will substitute” but the name is misleading
- Method to remove some assets from probate (privacy) by funding prior to death
- Impose “dead hand” control
- Can contain “spendthrift” provisions to protect assets from beneficiaries’ creditors (whether tort, business, or spousal)
- Retained control – the client is often trustee of his/her own revocable trust during lifetime (can be good planning in case of incapacity)
- Must be in writing
- Uniform Trust Code – Adopted in Most States

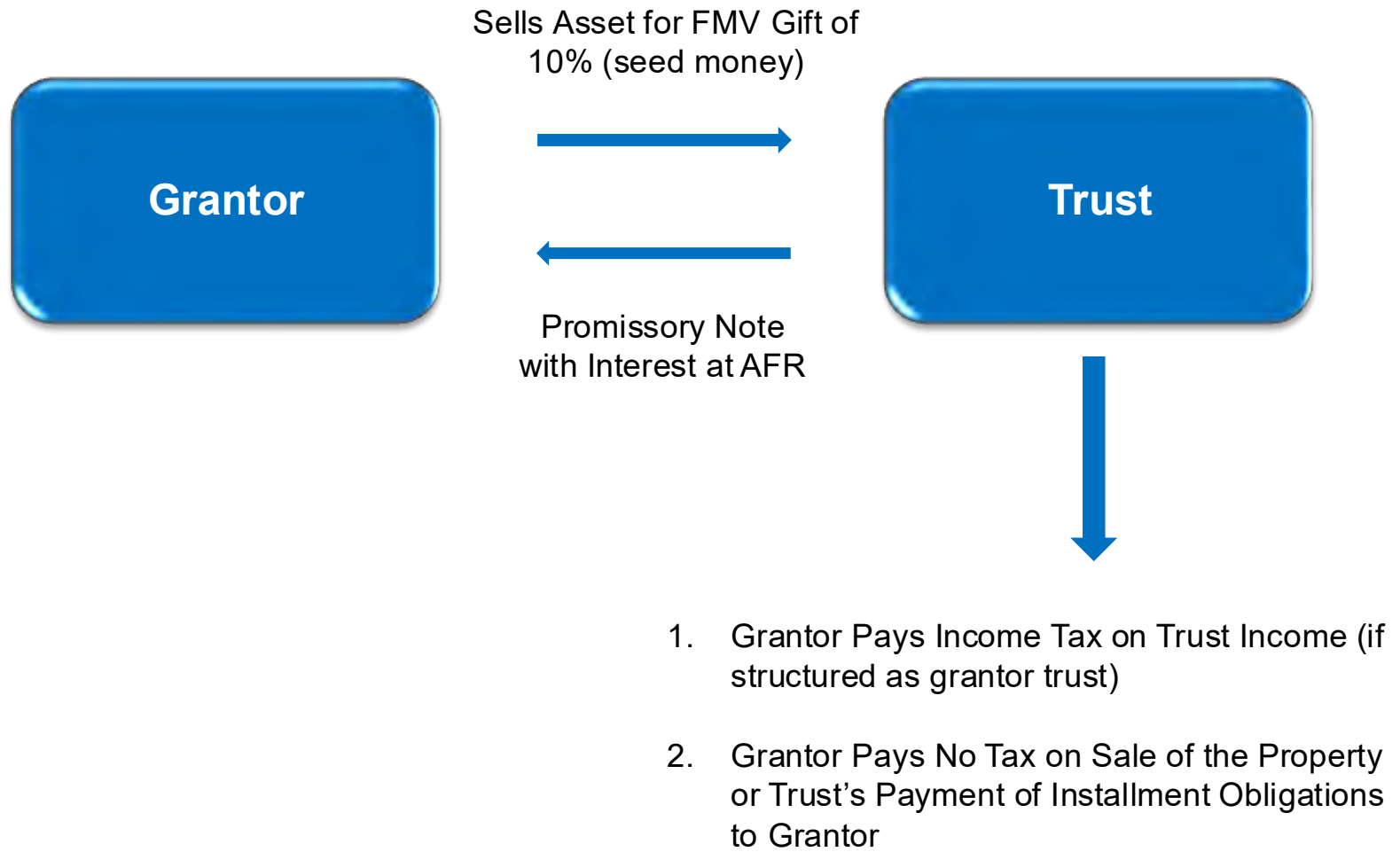
Outright Gifts to Children or Irrevocable Trusts to Children

- Client simply makes gifts directly to children or to irrevocable trusts established for children
- Trusts provide the extra benefit of asset protection and potential estate/GST planning
- Can be “grantor” or “nongrantor” trust for income tax purposes
- Utilizes some exemption, but moves assets out of the estate before estate taxes are involved

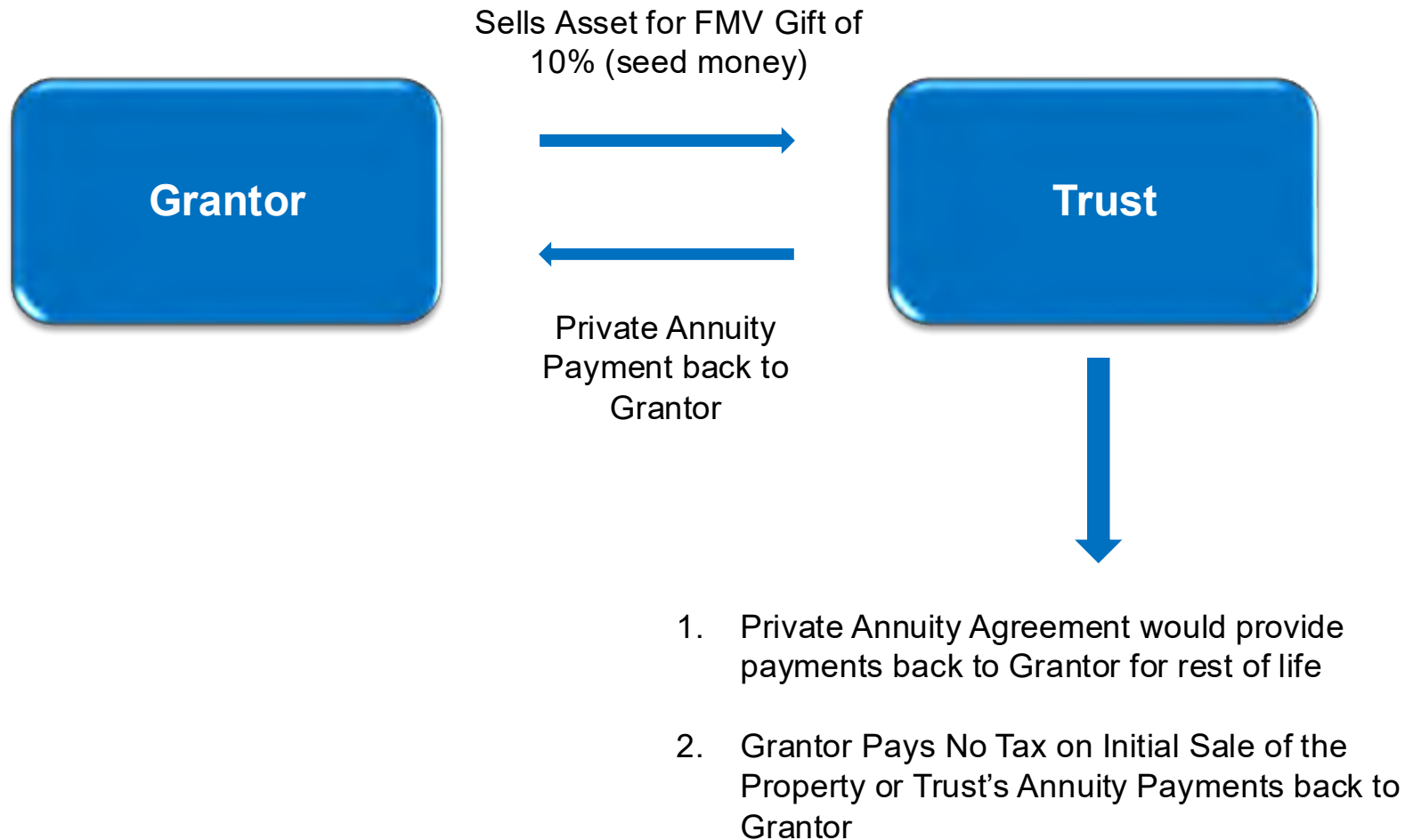
Sales to Irrevocable Trusts

- Client sells assets to an irrevocable trust in exchange for a promissory note
 - Can be structured as a private annuity in some circumstances
- “Estate Freeze” Technique – client is removing a highly appreciating asset from estate in exchange for a note
 - Note would have to charge interest at the applicable AFR
- Trust(s) structured as a “grantor” trust for federal income tax purposes
 - No gain recognized on the sale or income recognized on the interest payments back
 - Grantor still pays tax on the income generated inside of the trust
- Can still utilize discounting to establish value for the sale
- Works great for businesses that cash flow

Standard SIDGT Structure



Standard SIDGT Structure



Zeroed Out GRAT

- A “GRAT” is a Grantor Retained Annuity Trust
- These are done in fixed terms, usually for 2 years and then repeated
- The Grantor places assets into the trust and the trust makes annuity payments back to the Grantor, all while the assets grow tax free
- Your annuity payment is based on the IRS’s 7520 rate (June 2026 if 5%)
- Whatever is left over (the growth of the assets) is passed to the beneficiaries of the trust
- Zeroed Out GRAT = Zero Lifetime Exemption Used
- **The ideal asset is a “moon-shot” asset that can grow quickly so as not to risk the Grantor dying before the Annuity pays.**

Zeroed Out GRAT Example #1

- Client transfer \$5,000,000 (securities, stocks, etc.) to a GRAT
 - The 7520 rate is 5%
 - The securities grow 8% during that time and earn 6% income.
 - The term of the GRAT is 2 years
 - Every year, the principle + the 7520 rate (annuity) will be given to the grantor
 - An annuity of **\$2,689,039** will paid out each year back to the Grantor
 - The beneficiaries of the GRAT will receive **\$764,390 estate and gift tax free**

The June 2026 7520 rate is 5%

Zeroed Out GRAT Example #2

- Client transfer \$5,000,000 (closely held stock)* to a GRAT
 - The 7520 rate is 5%
 - The stock grows 50% during that time and earn 8% income.
 - The term of the GRAT is 2 years
 - Every year, the principle + the 7520 rate (annuity) will be given to the grantor
 - An annuity of **\$2,689,039** will paid out each year back to the Grantor
 - The beneficiaries of the GRAT will receive **\$5,808,497 estate and gift tax free**

*Closely held stock will require an independent third-party valuation. Generally S Corps qualify as they are grantor trusts, but a timely ESBT/QSST should be made.

The June 2026 7520 rate is 5%

Qualified Personal Residence Trust ("QPRT") Example



10

YEARS



Client transfers a residence to a QPRT

A 65-year-old client owns a \$2,000,000 primary residence and wants to eventually pass it to children.

The transfer is a taxable gift, but the value of the gift is reduced based on the life estate of the grantor because the client retains the right to live in the home during the QPRT term.

Client retains use of the home for a fixed term

The QPRT provides the client with the right to use the residence for a stated term, such as 10 years.

If the client survives the term, the residence passes to the children or a trust for their benefit at the discounted gift value.

Future appreciation shifts outside the estate

After the QPRT term ends, the client can continue living in the home by paying fair market rent.

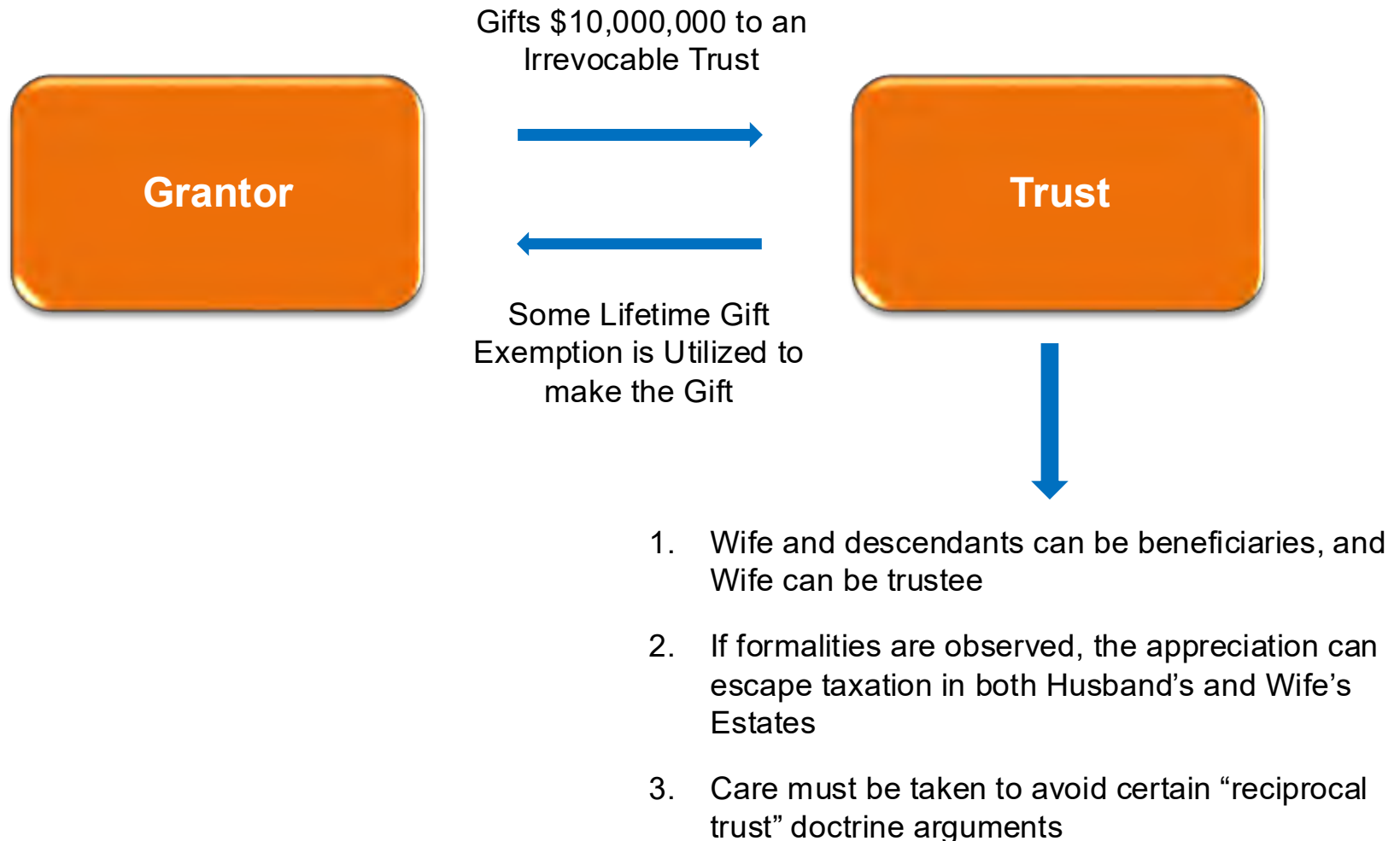
Future appreciation can pass outside of the taxable estate, and rent payments can further shift wealth to the next generation.

Planning caveat: if the client dies during the QPRT term, the residence is generally included in the client's taxable estate.

Spousal Lifetime Access Trust

- SLAT for short
- Irrevocable Trust established for Grantor's spouse and descendants
- Spouse is often the trustee, but can be different third party depending on the planning
- Another “estate freeze” technique where we move assets out of the estate at today's value
- But Grantor often has indirect access to the assets through Grantor's spouse
- Works great for estate and GST planning
- Risks – divorce and premature death of spouse
- Often designed with flexibility where “trust protectors” or “advisors” are involved

Sample Spousal Lifetime Access Trust Structure – Gift From Husband

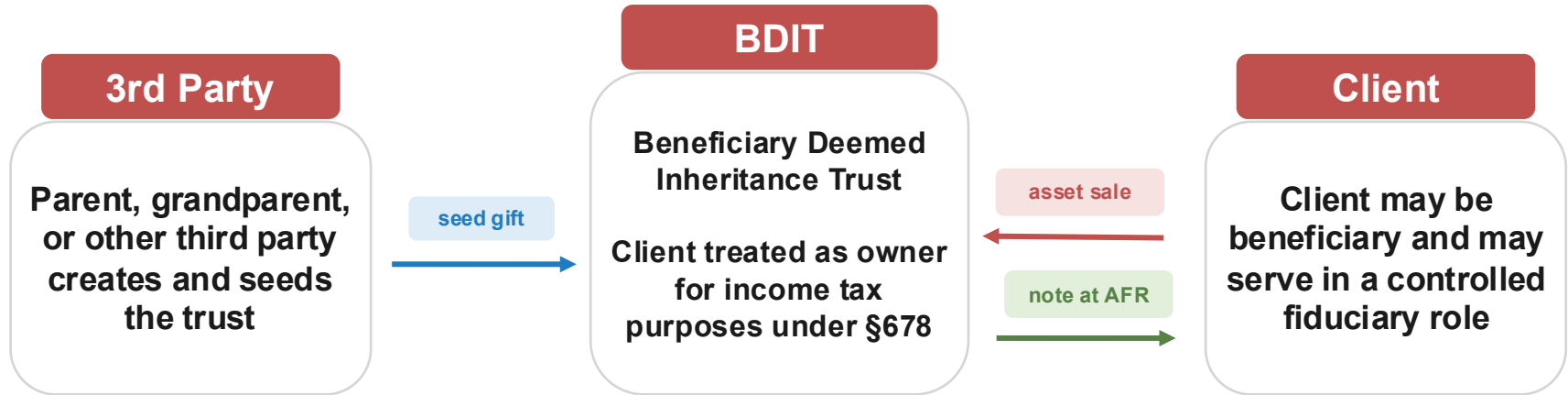


BDIT's and BDOT's

- Beneficiary Deemed Owned Trusts and Beneficiary Defective Inheritance Trust
- Third party forms a trust for the client
- Client has certain powers in the trust, or certain access to income, that make the trusts a “grantor trust” to the client under Section 678 of the Code
- Client can be the trustee of the trust and primary beneficiary
- Often drafted with an independent trustee involved as well
- Client sells (does not gift) assets to the trust in exchange for a promissory note with interest at or above AFR
- Another “estate freeze” technique where we move assets out of the estate at today’s value
- Grantor still has access and control
- Very sophisticated techniques that require careful planning
- Not as tested from a caselaw standpoint as other techniques

Sample BDIT §678 Transaction Structure

Third-party settled trust | Client treated as owner for income tax purposes under §678 | Sale freezes current asset value



Planning result: the client sells appreciating assets to the BDIT, freezing the value of the client's retained note while future appreciation can grow in trust

Income Tax Treatment
No gain on the sale if respected as grantor to the client under §678.

Estate Freeze
Client keeps the note; appreciation above the AFR hurdle shifts to the BDIT.

Planning Caveat
Requires careful drafting, valuation, administration, and creditor / estate inclusion analysis.

Key distinction: unlike a typical IDGT, the client does not create the trust — the third party creates the trust and the client sells assets to it.

Irrevocable Life Insurance Trust

- ILIT for short
- Irrevocable Trust designed to own a life insurance policy on Grantor's life
- Spouse, Child, Sibling, Parent, Friend, Bank or Trust Company Often the Trustee
- Trust provides liquidity to the family if estate taxes become an issue, while at the same time keeping the death benefits outside of the Grantor's gross estate for estate tax purposes
- For the right client, ILIT's make great tools for generation skipping/dynasty planning

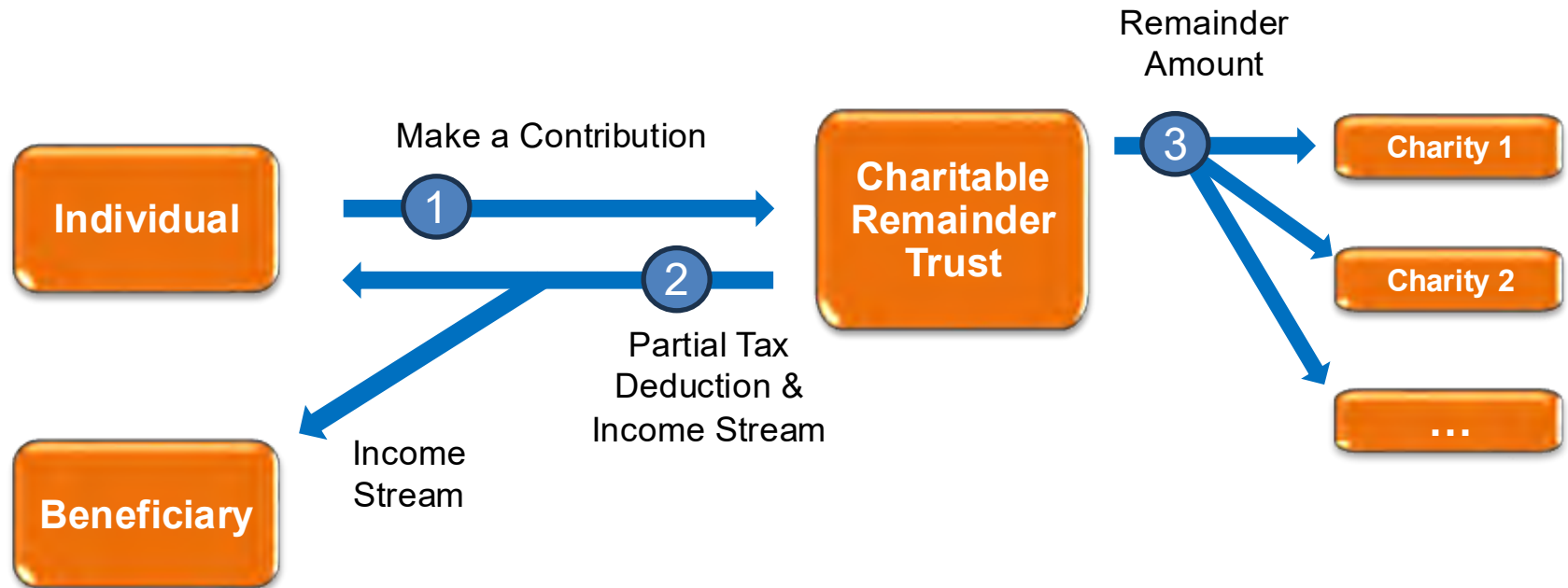
The “Zeroed Out” Estate Plan

- Sometimes utilized in the current “enhanced exemption” environment
- Client’s revocable trust leaves maximum exemption from estate tax amount to descendants
- Leave the rest to charity, or directs the formation of a private foundation
 - Kids and downstream descendants can even run the foundation and pay themselves reasonable compensation
- Net result – kids (or trusts for kids) get maximum exemption, charity gets any assets over exemption, IRS gets nothing
- If client is insurable, can combine the technique with an ILIT for wealth replacement

Charitable Planning for the Philanthropic Client

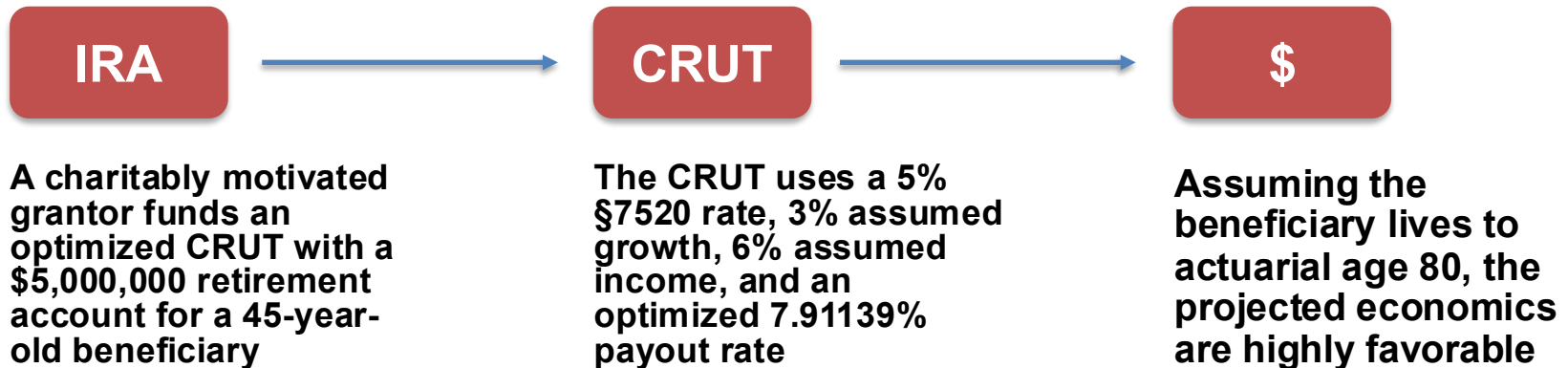
- Outright Gifting
- Charitable Remainder Trusts
- Charitable Lead Trusts
- Donor Advised Funds
- Private Foundations
- Charitable Annuities

Charitable Remainder Trust



Charitable Remainder Unitrust (“CRUT”) Example

Optimized Assumptions: Retirement Account Value \$5,000,000 | §7520 Rate 5% | Growth 3% | Income 6% | Optimized Payout 7.91139%



CRUT Optimization: What the Numbers Show

Optimized Assumptions: Retirement Account Value \$5,000,000 | \$7520 Rate 5% | Growth 3% | Income 6% | Optimized Payout 7.91139%

IRA

**Grantor funds
CRUT with
retirement
account**

Immediate deduction:
\$500,100

7.91139%

**Optimized lifetime
unitrust payout**

Payments projected
through actuarial age
80

\$

**Beneficiary and
charity both
benefit**

More if beneficiary
outlives age 80; less if
earlier death

Projected result: over \$16.2MM to the beneficiary + nearly \$6.9MM to charity

Charitable Deduction

\$500,100

Total Distributions

\$16.218MM

Projected Remainder

\$6.866MM

Final Year Payout

\$538,278

Illustrative projection only; actual results depend on investment performance, administration, payment timing, and beneficiary longevity.

Upstream Planning

- Upstream Planning is aimed at “Middle Rich” clients (net worth: \$11-14 million)
- The **Goal** of upstream planning is to do our best to ensure each individual dies with an estate of \$15,000,000 so the beneficiary gets a **NEW BASIS**
- **How do we do this?**
 - By transferring assets “upward” to older generations, we can maximize everybody’s estate tax exemption
 - Assets are placed in an irrevocable trust and given to an elderly family member who is granted testamentary general power of appointment (usually by granting a power to appoint to the creditors of the power-holder’s estate)
 - Once that family member passes away, the assets go back to the grantor with a new **stepped-up basis**

Upstream Planning Example

- A 50-year-old man has \$8 million in stock of a company, at which he acquired for \$2,000,000. He would be subject to capital gains tax on \$6,000,000 if he were to sell.
- He can place this stock into an irrevocable trust that grants a general power of appointment to his father.
- When the father passes, if the power was never exercised, the \$8,000,000 stock receives a full stepped-up basis, resulting in little to no capital gains tax for the son.
- Need to carefully craft the GPOA to be limited to the creditors of his father's estate...*but what if his father has creditors or if the stock is worth \$20MM at the time of his father's death?*

Case Study #1

- Sanjay is the sole owner of a closely held family business
- His spouse is not involved in the business and hasn't settled into a career yet
- Sanjay and his spouse have two children
- Sanjay does not want to burden anyone with being trustee of a family trust, but also does not want a corporate trustee to have complete control over the business transition should something happen to him
- Sanjay recently had the business appraised, and it is currently worth \$15 million

Case Study #1 Solution: Separate Control from Administration

Sanjay: \$15 million closely held business; spouse not involved; young children; trustee/control concerns

Core Structure

- Use a funded revocable trust for privacy, probate avoidance, incapacity planning, and business succession direction.
- Appoint a corporate trustee or professional fiduciary for traditional trust administration, tax reporting, distributions, and investment oversight.
- Appoint a business advisor, special trustee, trust protector, or business committee for company-specific decisions.
- Coordinate the trust with operating/shareholder agreements, buy-sell terms, voting rights, and insurance planning.

Advanced Planning Overlay

- Consider SLAT, sale to IDGT, GRAT, or BDIT/BDOT if estate tax exposure or future appreciation is a concern.
- A BDIT/BDOT may be attractive if Sanjay wants to shift future appreciation while preserving access and some control.
- A third party could establish the trust for Sanjay; Sanjay could sell business interests to the trust for a promissory note.
- Build in fiduciary guardrails so family members are not forced into business decisions they are not equipped to make.

Key Takeaway

The plan should separate trust administration, business decision-making, and beneficial ownership so the right person is making the right decision at the right time.

Case Study #2

- Dougan and Hera own a closely held family business
- 4 children
 - 2 are heavily involved in the business
 - 2 have no interest in the business
- Dougan and Hera love all their children and want them all to inherit, but want to eliminate potential conflict about the business upon death
- Business has an estimated value of \$40 million

Case Study #2 Solution: Fair Does Not Always Mean Equal

Dougan and Hera: \$40 million business; four children; two active in the business and two inactive

Core Structure

- Consider a voting / nonvoting recapitalization to separate control from economics.
- Give active children a clear path to control, management, or voting authority over the business.
- Provide inactive children with fair economic value through nonvoting interests, other assets, insurance, trusts, or structured payments.
- Use buy-sell or redemption planning to avoid forced long-term ownership among children with different goals.

Advanced Planning Overlay

- Use lifetime gifts or sales of nonvoting interests to trusts to shift future appreciation.
- Consider separate BDITs/BDOTs for active children so future appreciation can move to their trust structures without requiring large completed gifts.
- Use insurance or other liquidity to equalize inheritances and reduce pressure to sell the business.
- Coordinate the estate plan with all governance documents so the trust plan and business documents do not conflict.

Key Takeaway

The better plan often separates control, cash flow, and inheritance value so the business can continue without creating unnecessary family conflict.

Common Themes in Business Owner Estate Planning

Use these questions to frame the discussion before choosing the technique

Planning Questions

- Who should control the business if the owner is disabled or deceased?
- Who should receive the economic benefit of the business?
- Who should serve as trustee, fiduciary, advisor, or decision-maker?
- Is there enough liquidity for taxes, debt, expenses, and family needs?

Technique Solutions

- Should active and inactive children be treated identically or fairly?
- Does the estate plan match the business governance documents?
- Should future appreciation be shifted during lifetime through trusts, sales, GRATs, SLATs, or BDITs?
- Is the client comfortable with the complexity and administration required?

Key Takeaway

For business owners, estate planning is not just about death taxes. It is about protecting the business, preserving family relationships, and making sure control passes intentionally rather than accidentally.

Takeaways

- We just “dipped our toes” into estate planning 201 today
- Very complex, and client specific
- Find an estate planning attorney to help (not something you want to do part time)
- Client’s sophistication and tolerance for complexity is often a driving factor
- Technical drafting is required, but proper administration is also crucial
- Professionals involved with the client have to work together as a team



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